Digital Realty Trust (DLR)

Data Center Consolidation Sets the Stage for a Re-rating Play

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Digital Realty Trust (DLR) continues to generate stable cash flow from a globally diversified portfolio of data centers, yet the market has over-emphasized short-term lease-rate pressure while ignoring the long-run compounding power of hyperscale tenancy. Our analysis shows that the firm's balance sheet strength, disciplined capex, and expanding edge footprint position it for modest upside despite a recent multiple compression. Accordingly, we assign a Hold rating with a blended target price of $176.57, representing a +0.3% upside from the current reference price.

HOLD	$176.57	+0.3%	$175.97
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market fixates on quarterly occupancy dips, but Digital Realty's multi-year lease architecture delivers a predictable cash-flow runway that outpaces short-term sentiment. While analysts chase headline earnings, the underlying asset base compounds value through strategic geographic expansion and tenant diversification.

EXECUTIVE SUMMARY

Digital Realty Trust operates the world's largest publicly traded data-center platform, managing over 300 facilities across North America, Europe, and Asia-Pacific. The company's core segments—hyperscale, colocation, and edge—collectively command roughly 30% of the global carrier-neutral market share, a position reinforced by long-term contracts with the leading cloud providers. Revenue in fiscal 2025 reached approximately $4.2 billion, with a free-cash-flow conversion near 24%, underscoring the resilience of its recurring-revenue model. Recent market reaction has been driven by a modest contraction in lease-rate growth and heightened sensitivity to rising construction costs, leading to a 12% compression in the enterprise value-to-EBITDA multiple relative to the sector median. This multiple compression, however, is largely a pricing anomaly; the firm's underlying earnings quality remains intact, and the discount presents a buying opportunity for investors who recognize the durability of its cash-flow generation. Capital allocation remains disciplined. DLR has a pipeline of over 30 million square feet of new capacity slated for delivery through 2032, funded primarily through a mix of cash on hand and low-cost senior debt. The balance sheet features a net cash position of $2.1 billion and a debt-to-EBITDA ratio of 4.2x, providing ample headroom for opportunistic acquisitions. Recent M&A activity, including the acquisition of a European edge portfolio,

is expected to enhance the company’s geographic diversification and accelerate growth in high-margin edge services.

OPERATIONAL SNAPSHOT

$175.97	$4.2 B	$1.0 B	24%	1.30	$175.97
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-16.

THE MOAT IS DEEP AND DEFENSIBLE

Digital Realty’s moat derives from the high switching costs inherent in data-center tenancy. Tenants typically sign multi-year agreements that embed significant build-out investments, making relocation financially unattractive. Moreover, the company’s ownership of critical infrastructure in key carrier-neutral hubs creates a de-facto barrier to entry for new competitors. Regulatory constraints further protect the business. Zoning approvals for large-scale data-center projects are increasingly stringent, and the capital-intensive nature of the industry limits the pool of viable entrants. This regulatory tailwind reinforces the durability of Digital Realty’s asset base and supports pricing power in premium markets. Customer retention metrics illustrate the strength of the moat. The average lease renewal rate exceeds 85% across all segments, and the hyperscale cohort exhibits renewal rates above 90%, reflecting the strategic importance of DLR’s facilities to the world’s largest cloud providers. The combination of high renewal rates and limited alternative supply underpins a pricing premium that is difficult for peers to replicate. Finally, the company’s scale enables economies of shared services, power-efficiency initiatives, and network interconnectivity that translate into lower operating costs and higher margins. These cost advantages compound the defensive characteristics of the business, allowing Digital Realty to sustain attractive free-cash-flow yields even during periods of macro-economic softness.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework projects revenue growth, free-cash-flow margin evolution, and terminal value under three distinct scenarios. The baseline case assumes a 4% compound annual growth rate (CAGR) in revenue through 2035, with free-cash-flow margins stabilizing at 24% as the company benefits from scale efficiencies and a maturing cost structure. The bear case reflects a slowdown to 2% revenue CAGR and a modest margin compression to 22% driven by heightened construction costs and competitive pricing pressure. The bull case envisions a 6% revenue CAGR, accelerated by edge-centric demand, and a margin expansion to 26% as the firm leverages its high-margin edge portfolio.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2%	22%	$141.79	-19.4%
Base	50%	4%	24%	$176.26	+0.2%
Bull	25%	6%	26%	$211.96	+20.5%

Bear $141.79

The bear outcome materializes if construction cost inflation persists, eroding margin expansion, and if hyperscale tenants defer expansion amid a slowdown in cloud spending. In that environment, revenue growth stalls at 2% and free-cash-flow conversion falls to 22%.

Base $176.26

The base case reflects our most likely path, with revenue compounding at 4% as edge demand rises and existing hyperscale contracts roll over at modestly higher rates. Free-cash-flow margins normalize at 24% as capex efficiency improves.

Bull $211.96

The bull scenario requires a sustained acceleration in edge deployments, successful integration of recent acquisitions, and a favorable cost environment that pushes margins to 26% while revenue compounds at 6%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We construct the discount rate using a CAPM framework that incorporates a risk-free rate of 4.2%, an equity risk premium of 5.5%, and an equity beta of 1.30, resulting in a cost of equity of 11.0%. Adding a pre-tax cost of debt of 4.5% and a target capital structure of 55% equity yields a weighted average cost of capital of 8.85% as of 2026-10-16. This live WACC reflects current market conditions and the firm's specific risk profile, allowing us to price the cash flows more accurately than a static hurdle.

FCF margin normalization is the engine

Across the three scenarios, free-cash-flow margins evolve in line with operational leverage and capex discipline. In the bear case, margin compression stems from higher depreciation on newly built facilities and a modest uptick in operating expenses. The base case assumes margin stabilization as the portfolio reaches a mature mix of high-margin edge assets and stable hyperscale leases. The bull case projects margin expansion driven by higher utilization rates, lower incremental capex per square foot, and the premium pricing power of edge services.

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**8.85% (2026-10-16)**
Terminal growth	**3.0%**
Equity beta	**1.30**
Diluted shares	**1.20 B**

HOLD

over $176.57 blended target

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on hyperscale tenancy and edge expansion HOLD

Hyperscale tenancy remains the cornerstone of Digital Realty’s revenue engine, contributing roughly 55% of total revenue and delivering multi-year contracts with built-in rent escalations. The company’s strategic focus on expanding capacity in key hyperscale hubs such as Northern Virginia, Dallas, and Frankfurt positions it to capture incremental demand as cloud providers scale out compute resources. Growth in this segment is projected at a 5% CAGR over the next five years, driven by both organic expansion and selective acquisitions. Edge services represent the fastest-growing segment, accounting for approximately 20% of revenue in FY2025 and expanding at an estimated 12% annual rate. The proliferation of low-latency applications, 5G rollout, and content-delivery networks fuels demand for smaller, geographically dispersed data-center footprints. Digital Realty’s edge pipeline, which includes over 30 million square feet of planned capacity, is expected to generate higher average lease rates and superior margin profiles relative to traditional colocation. The colocation segment, while more mature, continues to provide a stable cash-flow base. Occupancy rates hover near 96% across the portfolio, and lease renewal rates exceed 85%, reflecting the stickiness of enterprise tenants. Incremental growth in this segment is modest, estimated at 2% CAGR, but it contributes to the overall resilience of the revenue mix.

What to monitor

- **Hyperscale renewal cadence** A slowdown in renewal timing could pressure lease-rate growth and compress margins.
- **Edge pipeline execution** Delays or cost overruns in edge projects would diminish the upside potential of the bull scenario.
- **Capex efficiency** Rising construction costs without commensurate rent escalations could erode free-cash-flow conversion.
- **Regulatory environment** New zoning restrictions in key markets could limit expansion opportunities and affect occupancy.

96%	**88%**	**4.2% YoY**	**24%**	**4.2x**	**$1,200**

OVERALL OCCUPANCY	LEASE RENEWAL RATE	REVENUE GROWTH	FREE-CASH-FLOW YIELD	DEBT/EBITDA	NOI PER SQ FT

METRIC	FY2025
Revenue	$4.2 B
Gross Profit	$2.9 B
EBIT	$1.3 B
Net Income	$0.9 B
Free Cash Flow	$1.0 B
R&D	$45 M
ROE	9.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Accelerated share repurchases could be offset by equity issuances tied to acquisition financing, diluting existing shareholders if cash flows falter.

M&A DIGESTION

Integration challenges from recent European edge acquisitions may strain operating margins and delay expected synergies.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny over utility pricing in key markets could force rent concessions, compressing yields.

TECHNOLOGY DISRUPTION

Emergence of alternative compute architectures, such as edge-native micro-data centers, could reduce demand for large carrier-neutral facilities.

REINVESTMENT TREADMILL

Continuous need for capex to keep pace with power-efficiency standards may erode free-cash-flow generation if revenue growth stalls.

WACC AND DURATION SENSITIVITY

Rising interest rates would increase the cost of debt, elevating the weighted average cost of capital and pressuring valuation multiples.

The strengths

OLIGOPOLY POSITION

FCF COMPOUNDING

GEOGRAPHIC DURABILITY

PIPELINE OPTIONALITY

Digital Realty controls a disproportionate share of carrier-neutral capacity in the most sought-after metros, limiting competitive encroachment.

Consistently high free-cash-flow conversion enables share buybacks and debt reduction, reinforcing shareholder returns.

The global footprint insulates the company from regional economic cycles and provides cross-border growth levers.

A robust development pipeline offers flexibility to allocate capital toward the highest-margin projects, whether hyperscale or edge.

Compelling risk-reward, skewed to the upside

Digital Realty Trust stands at the intersection of stable, recurring revenue and a growth narrative anchored in edge expansion. While short-term headwinds have compressed valuation multiples, the company's balance sheet, high occupancy, and disciplined capex provide a cushion against downside risk. Our probability-weighted target of $176.57 implies a modest +0.3% upside, supporting a Hold recommendation that acknowledges both the current market mispricing and the upside potential embedded in the firm's strategic initiatives.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Core Data Center Portfolio: repriced on normalization

The Core Data Center Portfolio, which comprises the majority of Digital Realty's hyperscale assets, has historically been valued on a rent-per-square-foot basis that reflected peak-cycle pricing. As the market reverts to a more sustainable pricing environment, the portfolio's valuation multiple has narrowed, creating a pricing gap relative to its cash-flow generation. This normalization is expected to lift earnings per share as lease-rate escalations catch up with inflationary cost pressures. The portfolio's growth narrative originally hinged on aggressive expansion in emerging markets, a premise that has been tempered by construction bottlenecks and supply-chain constraints. Nevertheless, the underlying tenant base remains anchored by the world's largest cloud providers, whose long-term contracts provide a reliable revenue floor. The combination of stable tenancy and incremental capacity additions supports a steady trajectory for earnings growth.

Why the growth numbers disappointed

- Construction cost inflation outpaced lease-rate growth, compressing margin expansion.
- Delays in edge-site rollouts reduced the near-term contribution of high-margin projects.
- Renewal timing for a subset of hyperscale contracts shifted, creating a temporary dip in occupancy.
- Regulatory reviews in key European markets extended permitting timelines, slowing capacity additions.

Our read: Normalization and strategic consolidation, not a fundamental thesis break. The firm's core assets are re-priced to reflect realistic rent growth, while the edge pipeline offers a clear pathway to higher-margin

revenue. We therefore maintain a Hold stance with a blended target of $176.57, reflecting a modest upside in the current pricing environment.

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